Situation 1

You are an audit senior at Simpson & Wu Limited, and have been discussing one of your audit clients, Tangerine plc (Tangerine), with your audit partner Kevin. Tangerine is a listed company which has an extensive number of commercial and wholesale food stores. Although this is your first year on the audit, you already know a bit about the client as you inherited some shares in the company from your grandfather last year.

Kevin explains that he has a fantastic relationship with the client, having been the audit partner for the last 6 years. In particular, he has built a strong relationship with the financial director (FD) of Tangerine, who helped out Kevin's wife last year by providing her with a company loan to assist her in starting up her own fashion brand.

Situation 2

Regina is the audit manager on the audit of Moira's Meals Limited (MM), a ready-meal business based in Aberdeen. The CFO, Maisie, has reached out to Regina to request whether one of the audit seniors who worked on the MM engagement last year could be placed with MM on a 6-month secondment to cover the work of a financial accountant who is on maternity leave.

Regina voices some concerns about this suggestion, as she is not sure any of the audit seniors would want to perform the financial accounting work. However, Maisie offers 6-months of free meals during the period of the secondment to both Regina and any senior who takes on the role, which makes the arrangement much more appealing.

Later, when Regina is explaining this to her husband, he says that he has heard of MM before as it is one of the companies his pension scheme invests in.

Situation 3

Jonnie an audit senior working on the audit of Big Corp plc (Big Corp). He is feeling a lot of pressure to perform on the audit, as his father is the CFO of Big Corp. Jonnie has a challenging relationship with his farther, and he doesn't want his father to think that the audit is not progressing because Jonnie isn't competent.

When working late one night Jonnie hears a disagreement between his audit partner, Lynn, and the financial director (FD) of Big Corp. Lynn is complaining that Big Corp have not been making payments in line with the agreed fee schedule, and that there are now overdue audit fees of a significant value. The FD tells Lynn not to worry – the fees will be paid in the future, and as an apology he will arrange dinner at a local fine-dining restaurant for Lynn and the audit team.

Situation 4

Sunshine Properties Limited (Sunshine), a UK based property company, is the largest audit client of Kelly & Whall Limited (K&W). The audit fee for 20X4 is estimated to be £190,000. Last year K&W's annual fee income was approximately £1.2m, and this is expected to remain steady.

K&W currently has one premises in Glasgow, but is considering leasing a second premises in Edinburgh from Sunshine. Thirza, an audit partner at K&W, has been involved in the lease discussions, and was delighted to see that draft lease agreement is significantly less expensive than the current office in Glasgow.

One of the audit managers on the audit of Sunshine, Darren, approached Thirza to tell her that he has accepted a job offer to join Sunshine as financial controller.

Situation 5

Mel is an audit manager at L&J Limited, working on the audit of Wedding Accessories plc (WA), a listed company. This year, Felix, who had previously been a payroll manager at WA, is joining the audit firm. Mel is considering including Felix in the audit team for the 20X4 audit of WA, as his knowledge of the client would be helpful.

As well as the statutory audit, L&J provides a variety of other non-audit services for WA. In 20X4, the audit fee is expected to be £200,000, and fees from non-audit services are expected to total £150,000, which is consistent with the last few years.

One service which L&J has been involved with is the design of the website (this does not include an e-commerce element). However there have been some serious security issues with this platform which have caused significant financial losses, and WA are threatening to sue L&J for the costs associated with these.

Situation 6

The partners of an audit firm held a meeting to consider how they could generate more income. Some of ideas presented included:

- Accepting engagements on a basis whereby a 'bonus' fee of 25% is paid if no material misstatements are raised during the audit.
- Expanding the range of non-audit services to include the provision of internal audit services.
- Setting targets for audit managers for selling non-audit services to their audit clients. If they hit a certain target, they will receive commission of 1% of the fee for the non-audit services.